

Masterclass Day 11

Decoding Financial Statements

Reading the fundamental DNA of a company's financial health.

Snapshot of Health: **Balance Sheet**

The Balance Sheet provides a snapshot of a company's financial position at one specific, exact moment in time.

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

- » **Assets:** Everything the company owns (Cash, inventory, factories, patents).
- » **Liabilities:** Everything the company owes to others (Bank loans, pending bills).
- » **Equity:** The net worth belonging to the shareholders after all debts are paid off.



The Business Movie: Profit & Loss

The Top Line (Revenue)

While the Balance Sheet is a photograph, the P&L (Income Statement) is a movie. It shows performance over a period of time (like a quarter or a year).

Revenue sits at the very top. It represents the total amount of money brought in purely from sales, before a single expense is deducted. It proves market demand.

The Bottom Line (Net Profit)

This is what remains after you deduct the cost of goods, employee salaries, rent, marketing, taxes, and interest payments from the Revenue.

It represents the true operational efficiency of the business. A company can have massive revenue but zero profit if costs are out of control.

The Reality Check:

Cash Flow

Profit is an opinion, but **cash is a fact**. A company can show huge profits on the P&L but still go bankrupt if cash isn't actually hitting the bank.

Operating Cash Flow: Money generated directly from day-to-day core business operations.

Investing Cash Flow: Money spent or made from buying/selling physical assets, equipment, or other businesses.

Financing Cash Flow: Money flowing between the company and its investors or lenders (taking loans, paying dividends).



The Holy Trinity of Finance



Balance Sheet

Evaluates the long-term wealth, leverage, and foundational stability of the company. Shows what you own vs. what you owe.



Profit & Loss

Tracks the operational performance and profitability over a specific timeframe. Tells you if the business model is actually working.



Cash Flow

The ultimate lie detector. Proves whether the profits shown on the P&L are translating into actual, usable cash in the bank.

Great Job on Day 11!

Tomorrow: Important Ratios.

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